CH – 1 ACCOUNTING FUNDAMENTALS

(A) INTRODUCTION TO BUSINESS AND ACCOUNTING

Home Assignment – 3 A [Introduction to Financial Statements]

1. Who is responsible for the preparation of the financial statements in a Company

    (a) Share holders   (b) Directors

    (c) Chief Financial Officer   (d) Chief Executive Officer

2. Who is responsible to prepare financial statements of a partnership?

    (a) Managing partner

    (b) All partners

    (c) Accountant

    (d) All of the above

3. According to which concept, the business is regarded as separate from the personal affairs of its owners.

    a) Legal entity concept

    b) Business entity concept

    c) Materiality concept

    d) None of the above

4. Which of the following combination includes only liabilities?

    A. Machines, Receivables, Cash

    B. Payables, Bank Overdraft, Loan from friend

    C. Bank, Payables, Sales

    D. Loan Obtained, Salaries, Payable

5. Which of the following combination represents assets only?

    a. Receivables, Electricity Bill, Cash in Hand

    b. Building, Cash at Bank, Investments

    c. Payables, Insurance, Tax

    d. Bank Overdraft, Equipment, Cash in Hand

6. GAAP stands for:

    a. General Accounting and Audit Principles

    b. Generally Accepted Accounting Principles

    c. Globally Accepted Accounting Principles

    d. General Accounts and Accounting Principles

7. Who is responsible for signing off on a company's financial statements before they are issued to users?

a) Shareholders
b) The board of directors
c) The government
d) Auditors

8. In which situation is a sole proprietor generally required to prepare financial statements?
a) Always by law
b) Only when demanded by tax authorities
c) Only in case of contractual requirement
d) Never

9. Which of the following best explains the Business Entity Concept?
a) The business and owner's activities are treated as the same
b) Financial accounting relates only to the activities of the business and not of the owner(s)
c) Owners are personally liable for business debts
d) Businesses and owners share financial statements

10. Sole traders and partnerships prepare financial statements according to:
a) International Financial Reporting Standards (IFRSs)
b) Company Act 2017
c) Accepted Accounting Principles & Practices (AAPPs)
d) IASB Framework

11. Limited companies must prepare their financial statements in accordance with:
a) Only AAPPs
b) Company Act 2017 and IFRSs
c) Tax Ordinances only
d) Internal management requirements

12. The term "Accounting Period" refers to:
a) The lifetime of a business
b) A given time span for which financial statements are prepared
c) Only one calendar year
d) The time between audits

13. What is the primary purpose of Financial Reporting?
a) To record daily business transactions
b) To provide financial information useful for decision making by users
c) To calculate taxes payable
d) To prepare bank reconciliation statements

14. Which of the following is NOT an example of Generally Accepted Accounting Principles (GAAPs) applicable to companies?
a) IFRSs
b) Company Act 2017
c) AAPPs
d) IASs